RESERVE BANK OF INDIA

Department of Regulation

Title: Master Direction on Credit Risk Management and Large Exposures, 2026

Reference number: RBI/2026-27/52 DOR.CRG.REC/07/2026

Date: June 08, 2026

1. Policy and Rating

1.1 These Directions shall apply to all scheduled commercial banks, and each bank shall maintain a Board-approved credit policy articulating risk appetite, delegation of sanctioning powers and exposure norms for each major segment.

1.2 Regulated Entities shall operate internal rating systems for corporate and institutional exposures, and models shall be validated through back-testing at least once every twelve months with results reported to the Risk Management Committee.

1.3 Regulated Entities shall limit exposure to a single counterparty to 20 percent of Tier 1 capital and to a group of connected counterparties to 25 percent, and breaches shall be reported to the Board within 7 days with a rectification plan.

2. Appraisal and Mitigation

2.1 Regulated Entities shall identify connected counterparties using control and economic-dependence criteria, and group exposures shall be aggregated for limit monitoring on a daily basis through the risk system.

2.2 Regulated Entities shall subject credit proposals to sensitivity analysis across adverse economic scenarios, and appraisal notes shall record through-the-cycle assumptions for cyclical sectors before sanction.

2.3 Regulated Entities shall value mortgaged collateral using prescribed haircuts, and revaluation of collateral for exposures above rupees twenty-five crore shall be completed at least once every twelve months.

2.4 Regulated Entities shall maintain a stressed-asset watchlist reviewed at least once every month, and provisions for watchlist accounts shall be topped up where collateral cover has deteriorated.

3. Review and Reporting

3.1 Regulated Entities shall operate an independent loan review mechanism covering sanctions above the Board-approved cut-off, and review findings shall be closed within 90 days with evidence retained for supervisory inspection.

3.2 Regulated Entities shall report exposures above rupees five crore to the Central Repository of Information on Large Credits within the stipulated timelines, and data quality shall be certified by the Chief Risk Officer every quarter.

3.3 Regulated Entities shall monitor sector-concentration against Board-approved caps, and breaches shall trigger enhanced appraisal and a cap-revision proposal within 30 days of detection.